

portfolio, if needed, once a year. Rebalancing your portfolio unnecessarily or more than once a year might be excessive if the changes in your portfolio are minimal. It can also get expensive and eat into your returns due to any associated transaction fees and taxes on earnings when you sell your stock market investments.

TARGET-DATE FUNDS, ROBO-ADVISORS, AND PORTFOLIO REBALANCING

One easy way to get around rebalancing your portfolio on your own is by investing in a target-date fund. A target-date retirement fund is an age-based fund designed to gradually shift your asset allocation over time to fewer stocks and more bonds and cash, so that the fund becomes more conservative the closer you get to your retirement year, minimizing your investment risk over time. If you are invested in a target-date retirement fund, you typically don't have to worry about rebalancing your portfolio, as this is done automatically in the fund each year as you move closer to retirement. However, it's important to keep in mind that target funds are typically actively managed by a fund manager and this means potentially higher fees, which can eat into your investment returns.

Another easy way to get around rebalancing your portfolio is if you have your investments with a robo-advisor that includes the benefit of automatic portfolio rebalancing based on the objectives you specify when you set up your account. You will be able to adjust your objectives as needed and the robo-advisor service will use your selections for future portfolio rebalancing as necessary.

With target-date funds and robo-advisors, you want to make sure you monitor your accounts periodically to ensure your investments are performing in line with your long-term goals.

LETTING GO OF A LOSING INVESTMENT

Sometimes as investors it's easy to get super-vested in a company because we love their products or services so much, we are going off the company's past glory, or perhaps we just really love the company's founders. However,